

Interview-Ready Purpose Statement

My career has been about protecting communities — first through counterterrorism and public safety, and now through financial crime investigations. Even with my brief but impactful AML experience, I see SAR writing as a way to transform suspicious activity into intelligence that can lead to prosecutions and break up criminal organizations. What drives me is knowing that illicit finance fuels global crime, and every well-documented SAR is a step toward accountability and disruption of those networks.

What motivates you? What gets you up early in the morning?

What propels my work is the recognition that trillions of dollars in illicit proceeds flow through the global financial system each year, fueling organized crime, corruption, and exploitation. My purpose as an AML investigator and SAR writer is to transform complex financial data into clear, actionable intelligence. By documenting suspicious activity with precision and integrity, I aim to support law enforcement in pursuing prosecutions, dismantling criminal networks, and protecting the financial system from abuse. Every report I write is a step toward accountability, transparency, and safeguarding communities from the harms of illicit finance.”

Interview Conversation Starter

"One of the reasons I approach AML investigations with a broad, big-picture perspective is because I've seen how financial crime doesn't exist in isolation — it's always part of a larger system. For example, when we talk about anonymous LLCs or shell companies, it's not just about money laundering in the abstract. U.S. Treasury reports have shown how cartels have used trucking companies, warehouses, even horse-breeding operations to launder profits. Those same entities can then funnel money into bribes, political donations, or even foreign influence campaigns. That's not just a compliance issue — it's a national security issue.

*So when I'm reviewing a triggered alert, I don't just ask, 'Does this transaction meet the threshold for escalation?' I ask, 'What's the bigger story here? Could this be part of layering, trade-based laundering, or even a corruption pipeline?' That's why I take a risk-based

approach — I weigh the activity against broader typologies, whether it's cartel laundering, sanctions evasion, or foreign government objectives.

Even recent policy shifts, like the rollback of beneficial ownership reporting requirements, remind me why this perspective matters. If regulators lose visibility into who really owns a company, it makes it that much easier for illicit actors to distance themselves from the money. As an investigator, I see my role as bridging that gap — connecting the dots between the micro-level transaction and the macro-level risk. That's how I make sure my SARs and recommendations aren't just technically compliant, but regulator-ready and strategically valuable."*

AML/KYC/Fraud Investigation interview questions

What is the purpose of AML and KYC regulations?

AML and KYC regulations aim to prevent financial crimes such as money laundering, terrorism financing, and fraud by requiring financial institutions to verify customer identities and monitor transactions for suspicious activity.

Can you explain the key components of a comprehensive KYC process?

The key components include customer identification, risk assessment, ongoing monitoring, and enhanced due diligence (EDD) for high-risk customers.

How do you identify and assess risks associated with money laundering?

By analyzing transaction patterns, conducting adverse media screening, and assessing customer profiles for red flags such as unusual transaction volumes or high-risk jurisdictions.

Describe a time when you investigated a suspicious transaction. What was your approach?

I once identified a series of transactions involving large cash deposits followed by immediate wire transfers to offshore accounts. I escalated the case, conducted enhanced due diligence, and filed a SAR.

What steps do you take to ensure compliance with AML regulations?

I stay updated on regulatory changes, follow internal policies, conduct regular training, and ensure thorough documentation of all investigations.

How do you handle high caseloads while maintaining accuracy?

By prioritizing cases based on risk level, using fraud monitoring tools, and maintaining detailed records to ensure efficiency and accuracy.

What is a Suspicious Activity Report (SAR), and when should it be filed?

A SAR is a report filed with regulatory authorities when a financial institution detects suspicious activity that may indicate money laundering or other financial crimes. It should be filed promptly upon identifying such activity.

How do you stay updated on the latest AML trends and regulations?

By attending industry seminars, subscribing to regulatory updates, and participating in professional networks such as ACAMS.

What tools or software have you used for fraud detection and investigation?

I have experience with tools like Refinitiv, Salesforce, and advanced Excel for transaction monitoring, adverse media screening, and case management.

How do you ensure confidentiality during an investigation?

By adhering to data protection policies, limiting access to sensitive information, and securely storing investigation records.

General Questions

What interests you about this position and our company?

As a seasoned case investigator I am

How do you stay updated on AML regulations and trends?

I frequent [FATF-GAFI.ORG](https://www.fatf-gafi.org) where recommendations and guidance and best practices are published covering Recent Risk-based approach guidances such as publicationsTA.GOV I have am a ACAMS member where I receive regular xxx notices of trends. I also frequent [FINCEN.gov](https://www.fincen.gov) for the As a seasoned case investigator I am

What do you consider the most important skills for an AML investigator?

The most important skills for an AML investigator to have would be critical thinking and story telling

Technical and Experience-Based Questions:

Can you explain the three stages of money laundering (placement, layering, integration) with examples?

1. Placement/Dirty money enters the system

Definition:

The stage where illicit cash is first introduced into the financial system. This is the riskiest stage for criminals because cash is most detectable before it enters the banking ecosystem.

Your example (refined):

A business account deposits unusually large volumes of cash—including illicit proceeds—into its bank account. These deposits may be structured, spread across branches, or mixed with legitimate revenue to avoid detection.

Other examples:

- A restaurant commingles drug proceeds with daily cash sales.
- A customer makes multiple cash deposits just under reporting thresholds.
- Cash is used to buy casino chips, gambled minimally, then cashed out as “winnings.”

2. Layering/Dirty money gets disguised

Definition:

The stage where criminals move funds through complex transactions to obscure the audit trail. The goal is to break the link between the illicit source and the current location of the funds.

Your example (refined):

Illicit proceeds are commingled with legitimate business revenue and then used to purchase higher-value assets—such as vehicles, crypto, or real estate—while taking deliberate steps to disguise the true origin of the money.

Other examples:

- Rapid transfers between multiple accounts or institutions.
- Converting cash to crypto, then swapping across chains (chain hopping).
- Using shell companies to move funds through multiple jurisdictions.
- Over- or under-invoicing in trade transactions to mask value movement.

3. Integration/Dirty money becomes “clean”

Definition:

The stage where laundered funds re-enter the legitimate economy appearing clean. At this point, the funds look like legitimate business profits, investments, or personal wealth.

Your example (refined):

Funds that originated from illicit activity are now used as if they were legitimate—such as sending a large international wire to a company within a laundering network, purchasing real estate, or investing in a business.

Other examples:

- Buying luxury property or vehicles with layered funds.
- Receiving “loan repayments” from a shell company the criminal controls.
- Investing in legitimate businesses using laundered capital.
- Using laundered funds to pay salaries, invoices, or personal expenses.

Describe a time when you investigated a suspicious transaction. What was your approach and the outcome?

During routine monitoring, our system generated an alert for a personal checking account that showed a sudden spike in cash activity. Historically, the customer deposited small amounts of cash consistent with their stated occupation. However, over a short three-day period, the customer conducted **multiple cash deposits just under the \$10,000 CTR threshold** across several branches and ATMs.

My first step was to **establish the customer’s baseline behavior**. A 12-month review showed stable, modest cash deposits with no prior high-value activity. This made the sudden pattern of ten \$9,000–\$9,900 deposits highly inconsistent.

Next, I **mapped the deposit timestamps and locations**. The deposits were made within minutes of each other at different branches, which is a classic indicator of smurfing. Several deposits occurred at the same branch—first with a teller, then immediately afterward through the ATM—suggesting deliberate attempts to avoid triggering a CTR.

I then reviewed the **source of funds, counterparty activity**, and **subsequent movement of the deposits**. No payroll, business receipts, or supporting documentation were present. Within 24

hours of the final deposit, the customer initiated a large outgoing transfer that depleted most of the account balance. The rapid in-and-out movement further supported a layering typology.

After completing my analysis, I documented the full chronology, red flags, and deviations from expected behavior. Because the activity demonstrated **structuring consistent with BSA circumvention**, and the customer could not provide a plausible explanation, I escalated the case and drafted a SAR detailing the smurfing pattern, transaction flow, and risk indicators.

How do you assess whether a transaction is suspicious?

I assess suspicious transactions by comparing activity to the customer's KYC profile, evaluating deviations through a risk-based lens, mapping behavior to known typologies, reviewing historical patterns and jurisdictions involved, and determining whether the activity can be reasonably explained or documented.

1. Start With the KYC Profile (Baseline Behavior)

I anchor every investigation in the customer's:

- Stated occupation and income
- Expected transaction activity
- Business model (if applicable)
- Historical patterns over time

This gives me a clear baseline. Anything that deviates materially from this baseline becomes a potential red flag.

2. Compare Activity Against Expected Behavior

I evaluate whether the transaction:

- Fits the customer's normal volume, frequency, and counterparties
- Aligns with their stated purpose for the account
- Matches their financial capacity or business operations

When activity contradicts the customer's profile, it raises suspicion.

3. Apply a Risk-Based Approach

I weigh the activity against:

- The alert scenario or typology that triggered monitoring
- The severity and number of red flags
- Whether the activity is explainable or supported by documentation
- Whether the behavior is consistent with known money-laundering patterns

This ensures I'm not filing defensively, but based on genuine risk.

4. Review Prior Alerts and SAR History

I check:

- Whether similar activity was previously reported
- When the last SAR was filed
- Whether the customer is trending toward escalation
- Whether the current activity represents a continuation, escalation, or new typology

Patterns over time matter just as much as the single event.

5. Evaluate Jurisdictional and Regulatory Exposure

I assess:

- Whether the transaction involves high-risk or sanctioned regions
- Whether counterparties are in jurisdictions with weak AML controls
- Whether the activity triggers OFAC, FATF, or internal country-risk concerns

Geography often amplifies or contextualizes risk.

6. Determine Whether the Activity Fits a Known Typology

I map the behavior against common typologies such as:

- Structuring / smurfing
- Rapid movement of funds
- Third-party funding
- Crypto layering
- Shell company pass-throughs
- High-risk wire patterns
- Fraud-related mule activity

If the activity aligns with a typology, suspicion increases.

7. Assess Whether the Activity Has a Plausible Explanation

I consider:

- Customer explanations (if outreach is appropriate)
- Supporting documentation
- Whether the explanation aligns with the facts

If the explanation is inconsistent, vague, or unverifiable, the risk escalates.

8. Make a Determination Based on Totality of Circumstances

I don't rely on a single factor.

I look at:

- Behavior
- Pattern
- Context
- Risk
- Documentation
- Typology alignment

If the totality suggests potential illicit activity, I escalate and draft a SAR.

What is your experience with Know Your Customer (KYC) and Customer Due Diligence (CDD) processes?

Are you familiar with the Financial Action Task Force (FATF) recommendations?

Behavioral Questions:

How do you handle situations where there is insufficient evidence to prove money laundering?

Describe a challenging case you worked on and how you resolved it.

How do you ensure confidentiality during investigations?

Analytical and Problem-Solving Questions:

What strategies do you use to identify patterns of suspicious behavior in financial transactions?

How do you analyze large amounts of data quickly and accurately?

How do you evaluate the effectiveness of existing AML policies and procedures?

These questions aim to assess your ability to navigate the complexities of AML investigations while adhering to regulations and maintaining ethical standards. If you'd like, I can help you prepare answers tailored to your experience!

What is AML?

- Anti-Money Laundering (AML) refers to laws, regulations, and procedures to prevent and detect money laundering.

What is Money Laundering?

- The process of disguising illegally obtained funds to make them appear legitimate.
- **Stages:**
 - **Placement:** Introducing illicit funds into the financial system.
 - **Layering:** Moving funds through complex transactions to obscure origin.
 - **Integration:** Reintroducing funds into the economy via assets or investments.

What is KYC?

- Know Your Customer (KYC) involves verifying customer identity and understanding financial behavior.
- Critical for AML compliance.

Consequences of AML Non-Compliance

- Financial penalties
- Legal consequences
- Reputational damage
- Operational restrictions

AML Detection & Controls

How Institutions Detect Money Laundering

- Transaction monitoring
- Customer Due Diligence (CDD)
- Suspicious Activity Reporting (SAR)
- Internal and external audits

Role of Regulatory Bodies

- **FinCEN** (U.S.)
- **FATF** (Global)
- **FCA** (UK)

Key AML Terms

Terrorism Financing (TF)

- Providing financial support for terrorist activities, from legal or illegal sources.

Customer Due Diligence (CDD)

- Verifying identity and assessing money laundering or terrorism financing risk.

Enhanced Due Diligence (EDD)

- Deeper investigation for high-risk customers (e.g., PEPs).

Politically Exposed Person (PEP)

- Individuals in prominent public positions requiring EDD.

Suspicious Activity Report (SAR)

- Filed when suspicious or unusual activity is detected.

Shell Company

- A business with no real operations, often used to hide ownership or launder funds.

Transaction Monitoring

- Analyzing transactions to detect unusual or suspicious behavior.

Risk-Based Approach (RBA)

- Tailoring AML measures based on customer, product, or geographic risk.

Counter Financing of Terrorism (CFT)

- Measures to detect and prevent funding of terrorist activities.

AML vs. CFT

- **AML:** Prevents laundering of illicit funds.
- **CFT:** Prevents funding of terrorism.

Smurfing vs. Structuring

- **Smurfing:** Using multiple people to break up transactions.
- **Structuring:** Breaking up transactions to avoid detection (can be done by one person).
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AML Interview Prep Notes

AML Basics

- AML, Money Laundering, KYC, CFT

Key Terms

- TF, CDD, EDD, PEP, SAR, Shell Company, Transaction Monitoring, RBA

Red Flags

- Unusual transactions, structuring, international transfers, crypto use, shell companies

6.4 Scenarios

- Structuring, rapid movement, trade-based laundering, crypto layering, real estate, mule accounts

6.5 Consequences of Non-Compliance

- Fines, legal action, reputational damage, restrictions

6.6 Regulatory Bodies

- FATF, FinCEN, FCA

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Transaction Monitoring related questions

1. Describe a time you investigated a suspicious transaction and wrote a SAR. What was your process and outcome?

Why they ask: Banks want to see your end-to-end investigative approach and writing clarity. Emphasize your fact-gathering, timeline reconstruction, escalation decisions, and the concrete outcome (filed SAR, closed case, or referral).

What to include: Situation; specific actions (data sources, systems, rules used); how you structured the narrative; and measurable result or learning. Highlight adherence to internal policy and regulatory thresholds.

Situation: I identified a high-value wire pattern inconsistent with the customer's stated business activity.

Action: I pulled account histories (most times within internal procedures prescribed ranges in consideration of not review activity previously reviewed as to maximize efficiency), KYC files (*reviewed internal records for relevant KYC updates*), payment instructions, and external screening hits; reconstructed a chronological timeline of transactions; and documented red flags (structuring, rapid movement, third-party beneficiaries). I drafted a SAR using a clear summary, timeline, parties, suspicious indicators, and attached supporting records. I escalated to AML leadership for review.

Result: The SAR was filed within policy SLA; the case led to a law-enforcement inquiry and the account was closed for suspicious activity. This improved our case-closure rate and reinforced our escalation process.

2. How do you decide whether activity meets the threshold for filing versus monitoring?

Why they ask: This probes judgment, risk tolerance, and regulatory knowledge. Show you balance quantitative triggers with qualitative context (customer profile, business purpose, red flags) and document rationale for either filing or continued monitoring.

What to include: Examples of red flags you weigh, use of transaction monitoring rules, and how you document decision rationale.

Situation: Alerts often sit in a gray area between a No-SAR and filing.

Action: I weigh quantitative triggers (thresholds, velocity) against qualitative context (customer profile, business purpose, corroborating documentation including payment details). I document rationale in the case file, consult policy and a senior analyst when uncertain, and use a risk matrix to justify decisions.

Result: My approach reduced unnecessary filings and improved SAR quality reviews by providing clear decision trails. I prioritize defensible, well-documented judgment.

3. How do you structure a SAR narrative so it's useful to law enforcement and examiners?

Why they ask: Clear, actionable narratives are essential; examiners expect who/what/when/where/why/how in plain language. Demonstrate your ability to present facts chronologically, avoid internal jargon, and include supporting evidence and links to transaction records.

What to include: A brief template you use (summary, timeline, parties, suspicious indicators, supporting documentation) and an example of how that helped an investigation.

Situation: Examiners and investigators need concise, actionable narratives.

Action: I use a general risk-based investigation template: Executive summary; chronological timeline with dates and amounts; parties and roles; suspicious indicators; supporting evidence and links. I avoid *bank* jargon, use plain language, and include exact transaction references (*payment details*).

Result: Feedback from QA reviews noted my narratives were easier to follow and led to faster investigative follow-ups. Clarity and chronology are my priorities.

4. Tell us about a time you disagreed with a filing decision (either you or a colleague). How was it resolved?

Why they ask: This assesses collaboration, escalation, and governance skills. Emphasize professional communication, use of policy and data to support your view, and how you escalated to AML/Compliance or legal when needed.

What to include: Conflict context, steps taken to reconcile differences, and the final outcome or policy change.

Situation: A colleague recommended *monitoring* for activity I believed warranted filing.

Action: I prepared a concise memo citing policy, transaction data, and red flags; presented it to the AML manager; and proposed a compromise—file now with a follow-up update if new info emerged.

Result: The manager agreed to file; later review validated the decision. I emphasize evidence-based escalation and professional communication.

5. What tools, data sources, and metrics do you rely on when preparing SARs?

Why they ask: Hiring managers want to confirm technical competence and familiarity with AML tooling. List transaction monitoring systems, case management platforms, sanctions/PEP screening, and key metrics you track (false positives, time-to-file, SAR quality reviews).

What to include: Specific systems if applicable, how you validate alerts, and examples of improving SAR quality or reducing unnecessary filings.

Answer: I rely on transaction monitoring systems, case management platforms (*to build on the client profile; how many prior cases, when was the last SAR, What activity was reported vs what activity am I reviewing*), sanctions/PEP screening, KYC/CDD files, and payment rails logs.

Key metrics I track: alert disposition rate, time-to-file, SAR quality score, and false-positive reduction. I use these to prioritize cases and drive continuous improvement. Tool familiarity and metric-driven improvements are central to my practice.

AML INTERVIEW QUESTION AND ANSWER

Understanding AML and Money Laundering Basics

1. What is AML?

Anti-Money Laundering (AML) refers to a set of laws, regulations, and procedures designed to prevent and detect money laundering activities.

2. What is Money Laundering?

Money laundering is the process by which individuals or organizations disguise illegally obtained funds to make them appear legitimate. It typically involves three stages:

- **Placement:** Introducing illicit funds into the financial system (e.g., depositing money into a bank).
- **Layering:** Concealing the origins of the funds by moving them through a series of complex transactions, such as transfers or conversions. (e.g., A person might transfer money between different accounts in various countries, buy and sell assets, or use shell companies, making it difficult to trace where the money came from.)
- **Integration:** Reintegrating the laundered funds into the economy by purchasing assets or making investments, making it difficult to trace the original illegal source. (e.g., A person who has laundered money through various transactions may use the funds to purchase real estate or invest in a legitimate business, making it appear as if the money was earned legally.)

3. What is Know Your Customer (KYC), and how does it relate to AML?

Know Your Customer (KYC) involves verifying the identity of customers and understanding their financial activities to assess risk. KYC is a critical component of AML compliance, as it helps institutions understand their customers and detect suspicious activities.

4. What are the potential consequences for organizations that fail to comply with AML regulations?

Non-compliance with AML regulations can lead to:

- **Financial Penalties:** Substantial fines imposed by regulatory bodies.
 - **Legal Consequences:** Potential criminal charges against the institution or its executives.
 - **Reputational Damage:** Loss of client trust and business opportunities.
 - **Operational Restrictions:** Limitations on business activities or loss of licenses.
- #### 5. How do financial institutions detect money laundering activities?

Financial institutions detect money laundering through:

- **Transaction Monitoring:** Using automated systems to analyze transactions for unusual patterns or anomalies.
- **Customer Due Diligence (CDD):** Assessing the risk profile of clients based on their activities and backgrounds.
- **Suspicious Activity Reporting (SAR):** Reporting identified suspicious activities to relevant authorities.
- **Regular Audits:** Conducting internal and external audits to ensure compliance with AML policies.

6. What is the role of regulatory bodies in AML?

Regulatory bodies enforce AML laws and ensure compliance. Examples include:

- **Financial Crimes Enforcement Network (FinCEN)** in the U.S.
- **Financial Action Task Force (FATF)** globally.
- **Financial Conduct Authority (FCA)** in the UK.

These organizations set standards, issue guidelines, and monitor institutions to combat money laundering and terrorism financing.

Key terms related to **AML (Anti-Money Laundering)** and **money laundering**:

1. Terrorism Financing (TF)

Definition:

Terrorism financing refers to the process of providing financial support for terrorist activities. This can involve both legal and illegal sources of funds.

Example:

A charity may unknowingly receive donations that are later used to fund terrorist operations. In this case, the financial institution would monitor such donations for unusual patterns and report them as suspicious.

2. Customer Due Diligence (CDD)

Definition:

Customer Due Diligence (CDD) is the process of verifying the identity of a customer and assessing the potential risks of money laundering or terrorism financing.

Example:

Before opening a bank account, a customer must provide personal details, such as their full name, address, date of birth, and government-issued identification. This helps the bank verify the customer's identity.

3. Enhanced Due Diligence (EDD)

Definition:

Enhanced Due Diligence (EDD) refers to a more thorough investigation process conducted on high-risk customers. This process includes collecting additional information and monitoring their transactions more closely.

Example:

If a bank identifies that a customer is a **Politically Exposed Person (PEP)**, the bank will perform EDD, which could include checking the client's background, source of funds, and monitoring their transactions for any unusual activity.

4. Politically Exposed Person (PEP)**Definition:**

A **Politically Exposed Person (PEP)** is an individual who holds or has held a prominent public position, such as a government official, senior executive in state-owned enterprises, or a high-ranking military officer.

Example:

A former minister of finance from a foreign country could be considered a PEP. Banks are required to perform **Enhanced Due Diligence (EDD)** when dealing with such individuals to ensure their funds are not tied to corruption or other illicit activities.

5. Suspicious Activity Report (SAR)**Definition:**

A **Suspicious Activity Report (SAR)** is a report filed by financial institutions to the relevant authorities when they detect suspicious or unusual activity that may indicate money laundering or other criminal behavior.

Example:
If a customer frequently transfers large sums of money without a clear explanation, a bank may file a SAR to report the suspicious activity to regulatory authorities.

6. Shell Company**Definition:**

A **shell company** is a business entity with no real operations, often created to conceal the true ownership of assets or facilitate money laundering.

Example:

A criminal might create a shell company to hold assets such as property or bank accounts, which are used to hide the origin of illicit funds.

7. What is Transaction Monitoring?

Transaction monitoring is the process of analyzing customer transactions (e.g., deposits, withdrawals, transfers) in real-time or retrospectively to identify patterns or behaviors that deviate from normal activity. It helps financial institutions flag potentially suspicious activities for further investigation.

8. Can you explain the concept of a risk-based approach in AML?

- A **risk-based approach (RBA)** means tailoring AML measures based on the level of risk associated with a customer, product, or geography.
- For example, a PEP or a customer from a high-risk jurisdiction would require **Enhanced Due Diligence (EDD)**, while a low-risk customer might only need **Simplified Due Diligence (SDD)**.
- This approach ensures that resources are allocated efficiently to areas with the highest

risk.

9. What is CFT?

CFT (Counter Financing of Terrorism) involves measures to prevent and detect the flow of funds that support terrorist activities. It includes monitoring transactions, conducting due diligence, and reporting suspicious activities to authorities.

10. Different between AML and CFT?

AML (Anti-Money Laundering) focuses on preventing illicit funds from being processed through the financial system. It involves detecting and stopping activities like money laundering, where illegally obtained money is made to appear legitimate.

CFT (Counter Financing of Terrorism) focuses on preventing the flow of funds to support terrorism. It aims to detect and block financial transactions that could be used to finance terrorist activities.

11. What is Different between Smurfing and Structuring?

Smurfing: This involves breaking down large amounts of illicit money into smaller, less suspicious amounts and having multiple people (the "smurfs") make deposits. The goal is to avoid triggering reports for large transactions, like those over \$10,000.

Structuring: This is the general practice of breaking up a large transaction into smaller ones to evade detection. It can be done by a single individual or multiple parties. Structuring doesn't necessarily involve using others (like smurfing does) but simply the act of splitting up transactions.

common red flags that could indicate money laundering:

1. Unusual Transactions

- **Example:** A client who has a history of low activity suddenly makes a large deposit or wire transfer.

- **Why it's suspicious:** The unexpected increase in activity, especially large amounts, might indicate money laundering, especially if the customer can't explain the source of funds.

2. Frequent International Transfers

- **Example:** A customer frequently transfers money to countries known for weak AML regulations or high-risk jurisdictions.

- **Why it's suspicious:** The funds may be moving across borders to hide their origins or to fund illicit activities.

3. Structuring or Smurfing

- **Example:** A client deposits multiple smaller amounts of money just under the threshold that requires reporting (e.g., just under \$10,000).
- **Why it's suspicious:** This is often an attempt to avoid detection and reporting requirements (known as **structuring**).

4. Use of Multiple Accounts

- **Example:** A customer regularly moves money between multiple accounts without clear justification, especially if they are unrelated or in different names.

- **Why it's suspicious:** This could be an attempt to obscure the origin or destination of the funds.

5. Complex or Unexplained Transactions

- **Example:** A client conducts a series of transactions that appear overly complicated or do not make business sense (e.g., buying and selling of assets or investments without a clear reason).

- **Why it's suspicious:** Money launderers often use complex transactions to hide the movement of illicit funds.

6. Large Cash Deposits

- **Example:** A customer regularly deposits large amounts of cash into an account without providing a legitimate explanation.

- **Why it's suspicious:** Large cash deposits, especially in high-volume, could indicate the placement stage of money laundering.

7. Client Involvement in High-Risk Industries

- **Example:** A client operates in industries with high exposure to money laundering, such as casinos, pawn shops, or real estate.

- **Why it's suspicious:** Certain industries are more susceptible to money laundering due to the nature of their transactions.

8. Overly Secretive or Evasive Clients

- **Example:** A client is unwilling to provide required identification documents or refuses to answer basic questions about the nature of their business.

- **Why it's suspicious:** A lack of transparency can indicate that the customer is trying to conceal the true purpose or origin of funds.

9. Politically Exposed Persons (PEPs)

- **Example:** A high-ranking government official (or close family member) suddenly opens an account or conducts significant transactions.

- **Why it's suspicious:** PEPs are considered high-risk due to the potential for corruption and misuse of power for financial gain.

10. Unusual Source of Funds

- **Example:** A client deposits a significant amount of money but cannot provide a clear or legitimate source of the funds.

- **Why it's suspicious:** If a customer can't explain where the money is coming from, it may suggest that the funds are from illegal activities.

11. Inconsistent Activity with Client's Profile

- **Example:** A retiree with a modest income suddenly makes large investments or high-value purchases.

- **Why it's suspicious:** If the client's transactions don't match their financial profile or lifestyle, this could be a sign of money laundering.

12. Use of Shell Companies

- **Example:** A customer opens multiple accounts under the name of different shell companies or entities that have no real operations.

- **Why it's suspicious:** Shell companies are often used to conceal the identity of the true owner and to launder money.

13. Frequent Changes in Account Details

- **Example:** A customer frequently changes their account information, such as phone numbers, addresses, or account types.

- **Why it's suspicious:** This could be an attempt to evade detection or investigation.

14. Use of Cryptocurrency or Prepaid Cards

- **Example:** A client frequently uses **cryptocurrency** or prepaid debit cards to transfer or store funds.

- **Why it's suspicious:** Cryptocurrencies and prepaid cards can offer a degree of anonymity, making them attractive for money laundering.

15. Overseas Clients Without Legitimate Business

- **Example:** A foreign client who does not seem to have any actual business presence in the country but wants to open an account.

- **Why it's suspicious:** If a foreign client has no real economic activity in a given country but wishes to open an account or transfer funds, it could be an attempt to launder money.

Types of AML Scenarios with Examples

1. Structuring (Smurfing)

- **Scenario:** Breaking down large amounts of money into smaller, less suspicious transactions to avoid reporting thresholds.

- **Example Case:** An individual deposits 9,000 in cash into multiple bank accounts over several days, just below the 10,000 threshold that triggers a Currency Transaction Report (CTR). This pattern suggests an attempt to evade detection.

2. Rapid Movement of Funds

- **Scenario:** Funds are transferred quickly between accounts or across borders with no clear business purpose.

- **Example Case:** A company transfers \$500,000 to an offshore account in a high-risk jurisdiction, and within 24 hours, the funds are moved to another account in a different country. The lack of a legitimate business rationale raises red flags.

3. Unusual Transaction Patterns

- **Scenario:** Transactions that deviate from a customer's normal behavior or expected activity.

- **Example Case:** A small retail business that typically processes 10,000 per month suddenly starts depositing 100,000 in cash weekly without a clear explanation for the increase in revenue.

4. Use of Shell Companies

- **Scenario:** Transactions involving companies that exist only on paper and have no real business operations.

- **Example Case:** A shell company with no physical office or employees receives a \$1 million wire transfer from a high-risk jurisdiction and immediately transfers the funds to another shell company. The lack of transparency suggests potential money laundering.

5. Round-Tripping Scenario: Funds are sent to another account or jurisdiction and then returned to the

original account to create the appearance of legitimate transactions.

- **Example Case:** A business sends 200,000 to an overseas account and receives 195,000 back a few days later, with no clear reason for the transaction. The slight difference may represent a fee for laundering services.

6. High-Risk Geographies

- **Scenario:** Transactions involving countries or regions known for weak AML controls or high levels of corruption.
- **Example Case:** A customer frequently sends large wire transfers to a country on the Financial Action Task Force (FATF) grey list, which is known for lax AML regulations.

7. Politically Exposed Persons (PEPs)

- **Scenario:** Transactions involving individuals in prominent public positions who may be at higher risk of corruption.
- **Example Case:** A government official opens a bank account and receives a \$2 million deposit from an unknown source. The bank investigates to ensure the funds are not proceeds of bribery or corruption.

8. Trade-Based Money Laundering

- **Scenario:** Using trade transactions to move illicit funds, such as over- or under-invoicing goods.
- **Example Case:** A company exports goods worth 100,000 but invoices the mat 100,000 *but invoices the mat* 1 million, allowing the buyer to transfer \$900,000 in illicit funds under the guise of a legitimate trade transaction.

9. Cash-Intensive Businesses

- **Scenario:** Businesses that handle large amounts of cash are often used to commingle illicit funds with legitimate revenue.
- **Example Case:** A car wash business reports significantly higher cash revenues than industry averages, suggesting it may be used to launder money from illegal activities.

10. Layering Through Cryptocurrency

- **Scenario:** Using digital currencies to obscure the origin of funds through multiple transactions.
- **Example Case:** A customer buys Bitcoin with cash, transfers it through multiple wallets, and then converts it back to fiat currency in a different jurisdiction, making it difficult to trace the original source.

11. Non-Profit Organizations (NPOs)

- **Scenario:** NPOs being used as fronts to move illicit funds under the guise of charitable activities.
- **Example Case:** A charity receives large donations from unknown sources and transfers the funds to high-risk jurisdictions without clear documentation of how the money will be used.

12. Gaming and Gambling

- **Scenario:** Using casinos or online gambling platforms to launder money by converting illicit cash into chips or digital credits.
- **Example Case:** A customer buys \$50,000 in casino chips, gambles minimally, and then cashes out the chips for a check, effectively "cleaning" the money.

13. Real Estate Transactions

- **Scenario:** Purchasing property with illicit funds to legitimize the money.
- **Example Case:** A buyer purchases a luxury property with cash or through a shell company, and the source of funds cannot be verified.

14. Terrorist Financing

- **Scenario:** Funds being used to support terrorist activities, often in small amounts to avoid detection.
 - **Example Case:** Multiple individuals send small wire transfers to the same recipient in a conflict zone, with no clear familial or business relationship.
- ## 15. Mule Accounts
- **Scenario:** Accounts used by third parties to move illicit funds on behalf of someone else.
 - **Example Case:** A student with no income suddenly receives multiple large deposits and immediately transfers the funds to an overseas account, indicating they may be acting as a money mule.

Short Notes for AML Interview Preparation

1. AML Basics

- **AML (Anti-Money Laundering):** Laws, regulations, and procedures to prevent and detect money laundering.
- **Money Laundering:** Disguising illegally obtained funds to appear legitimate (Placement, Layering, Integration).
- **KYC (Know Your Customer):** Verifying customer identity and understanding financial activities to assess risk. Crucial for AML.
- **CFT (Counter-Financing of Terrorism):** Measures to prevent funding for terrorist activities. Overlaps significantly with AML.

2. Key AML Terms

- **Terrorism Financing (TF):** Funding terrorist activities (legal or illegal sources).
- **CDD (Customer Due Diligence):** Verifying customer identity and assessing risk.
- **EDD (Enhanced Due Diligence):** More thorough investigation for high-risk customers (e.g., PEPs).
- **PEP (Politically Exposed Person):** Individuals holding prominent public positions (higher risk).
- **SAR (Suspicious Activity Report):** Report filed for suspicious activities.
- **Shell Company:** No real operations, used to hide funds.
- **Transaction Monitoring:** Analyzing transactions for unusual patterns.
- **Risk-Based Approach (RBA):** Tailoring AML measures based on risk level.

3. Red Flags

- Unusual transactions (e.g., sudden large deposits).
- Structuring (e.g., deposits just below \$10,000).
- Frequent international transfers to high-risk countries.
- Use of shell companies or complex transactions.
- Large cash deposits without explanation.

- Inconsistent activity with customer profile.
- Use of cryptocurrency or prepaid cards for anonymity.
- **Structuring**: Breaking large amounts into smaller transactions.
- **Rapid Movement of Funds**: Quick transfers across borders.
- **Trade-Based Laundering**: Over/under-invoicing goods.
- **Cryptocurrency Layering**: Using digital currencies to obscure funds.
- **Real Estate**: Purchasing property with illicit funds.
- **Mule Accounts**: Third parties moving illicit funds.
- **Round-Tripping**: Sending funds overseas and bringing them back to create the illusion of legitimate transactions.

5. Consequences of Non-Compliance

- Financial penalties, legal action, reputational damage, operational restrictions.

6. Role of Regulatory Bodies

- **FATF**: Global AML standards.
- **FinCEN**: U.S. AML enforcement.
- **FCA**: UK regulatory body.